title: Third-party app identities after the ConnectWise incident: what to review in Entra
date: 2026-10-28
summary: Unknown attackers compromised Microsoft 365 tenants in an incident involving ConnectWise. Reviewing third-party enterprise applications and their sign-ins is a cheap check that does not require you to revoke everything.
draft: false

Short answer

Review the third-party applications and service principals in your tenant, starting with management tools and anything from ConnectWise. Look for new credentials, new consents and unusual sign-ins. Do not revoke all app consents, because that breaks business applications.

What is known

- The Hacker News and BleepingComputer reported on 18 Oct 2026 that unknown threat actors compromised Microsoft 365 tenants in an incident involving ConnectWise.
- ConnectWise said it disabled seven of its application identities while the investigation continues, according to the same reports.
- The full scope is not public.

Confirmed: the reported incident and the account action by ConnectWise.
Likely: the impact is wider than the excerpts show.
Unclear: how the attackers got access, and whether any Microsoft 365 data was accessed. Do not treat either point as known.

Why this matters for your tenant

- Management and backup tools often hold broad application permissions. A compromised application identity can act without a user password or MFA prompt.
- Enterprise applications and service principals are easy to forget. Many have credentials that never expire.

What I would check this week

1. **Find the vendor's applications:** in **Entra admin center → Identity → Applications → Enterprise applications**, filter by the vendor name and by any tool you use for management or backup.
2. **Sign-in logs for those apps:** review service principal sign-ins for the last 30 days, looking at new IP addresses, new countries and unusual times.
3. **New credentials and consents:** in **Monitoring & health → Audit logs**, search for added credentials, added owners and consent grants in the last 30 days.
4. **Permissions:** check the granted application permissions. Question any broad permission the app does not need for its job.
5. **Owner check:** confirm each app has an owner who can say whether it still needs to exist.

What to leave alone

Do not revoke all consents or all sessions without evidence of misuse. Remove or rotate credentials only for applications you have confirmed are not needed, or where the vendor has advised it. Record every change.

Risk and rollback

- **Risk of reviewing only:** Low.
- **Risk of disabling a vendor app:** Medium to high. Disable it in a planned window, with the vendor's guidance, and record the rollback path.

Verification

- A list of vendor-related enterprise applications with owners is documented.
- The sign-in and audit log review for 30 days is recorded, with the result for each app.
- Any credential or permission change has a ticket and a rollback note.

Source: The Hacker News and BleepingComputer, 18 Oct 2026, as summarised in the weekly briefing on this site. Check the vendor's current statement before you act on the scope.